

Introduction to Risk Management

Module 1

Objectives

- Focus- business risk
- Analytic risk management
- Various levels and categories of Risk.
- Competitive intelligence in decision-making
- Financial and technical business risk-assessment and risk-modeling techniques and tools



Introduction

- Risk management: the process of handling an uncertain event (+/-) that may impact an organization.
- Risks:
 - Unavoidable
 - Internal or external causes
 - Issue > Threat- driving the risk > potential loss



Types of Risks

- Strategic- affect firm's strategic positioning
- Operational
- Management & Governance
- Financial (reporting, valuation, market, equity, liquidity, and credit risks), and
- Compliance (legal, cyber and information security, -cyber attacks or information security breaches)



Modeling Risk- Tools and Techniques

- Risk Register- Log of risks
- SWOT Analysis- a high level abstraction of risk
- KRIs
- Risk treatment and response plan ledger



Enterprise Risk Register

	#	Risk Area	Residual Risk		#	Risk Area	Residual Risk
STRATEGIC	1	Vision and Mandate	Low	OPERATIONS	27	Processing	Medium
	2	Strategic Planning	Low		28	Client Services	Medium
	3	Budgeting	Low		29	Records Management	Medium
	4	Competitors	High		30	Payments (Payroll)	Medium
	5	HR Strategy and Planning	High		31	Procurement	Low
	7	Administration	High		32	Asset and Inventory Management	Low
	8	Technology Strategy	Low		33	Talent Retention (Compensation)	Medium
	9	External Political and Economic Factors	Medium		34	Recruitment	Medium
	10	Organizational Transformation/Change Management	Medium		35	Succession Planning and Promotion	High
	11	Decentralized Processes	Medium		36	Performance Management and Accountability	Medium
					37	Training/Development	Medium
GOVERNANCE	12	Governance Effectiveness	Medium	FINANCIAL	38	ICT Systems	Medium
	13	Risk Management and Control Environment	Medium		39	ICT Security and Access	Medium
	14	Internal Audit Effectiveness	High		40	Business Continuity/Disaster Recovery	Medium
	15	Organizational Structure and Internal Factors	High		41	ICT Infrastructure	Low
	16	Performance Measurement	Medium		42	ICT Change Management	Medium
	17	Transparency	Medium		43	Managed IT Service Delivery Method	Low
	18	Leadership and Management	Low		44	Data Management/Interfaces	Medium
	19	Ethics	Low		51	Solvency-Asset Liability Management	Medium
	20	Fraud and Corruption	Medium		52	Solvency-Funding	Medium
	21	Conflicts of Interest	Medium		53	Cash Management and Disbursements	Low
	22	Communications to/from Management	Medium		54	Actuarial Valuation	Medium
COMPLIANCE	23	Communication to/from Stakeholders	Medium		55	Risk Tolerance	Medium
	25	Misinformation/Reputation	High		64	Contribution Recording	Medium
	12	Governance Effectiveness	Medium		65	Financial Management and Reporting	Low
	13	Risk Management and Control Environment	Medium				
	14	Internal Audit Effectiveness	High				
	15	Organizational Structure and Internal Factors	High				
	16	Performance Measurement	Medium				
	17	Transparency	Medium				

SWOT Analysis for Risk

Strengths criteria examples... Organization Communication Leadership Skills Time Management Team Management Range of Experience Accreditations, Qualifications Main Role (knowledge, specialisms)	Weaknesses criteria examples... Motivation Organization Communication Gaps in Expertise Management of Team/Self Financial/Budget Knowledge Time Scales, Deadlines, Pressures Policies/Procedures (Writing/Adopting)
Opportunities criteria examples... New Initiatives Re-organization Other Partnerships Untapped Strengths Local Community Links Promotions Opportunities Maximise Leadership Position Technology Development and Innovation	Threats criteria examples... Financial/Budget Sickness Absence Loss/Lack of Resources Policy/Staffing Changes Challenging Expectations Morale, Commitment, Motivation Other Demands on Time (External) Competition for Roles/Responsibilities

Key Risk Indicators (KRIs)

- Predictors of unfavourable events
- Offer considerable insights into the weaknesses within the risk and control environments.
- Act as metrics of changes in an organization's risk profile.
- Heighten board and management enterprise risk awareness
- Quantifiable and predictable



XYZ Company Risk Treatment and Response Plan

Risk					
Risk Rating Jan-2018:	Residual Risk ■				
Current Risk Rating:	Residual Risk (to be determined) 				
Risk Category					
Risk Owner					
Contributing Factors			Controls		
1.			1.		
2.			2.		
3.			3.		
Treatment Strategy		☒ Risk Reduction ☐ Risk Acceptance ☐ Risk Monitoring ☐ Control Monitoring			
Risk Treatment / Action	Due Date	Status	Responsible Person	Required Resources	Risk Monitoring indicators (used as reference)
1.					
2.					
3.					
4.					
Other Risk Treatments / Actions Considered			Required Resources / Implementation Cost	Reasons for not choosing this Treatment / Action	